



GE Vernova

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Business Overview

Parent Spin-Off:

Former energy division of General Electric, spun off in April 2024; Global energy technology company focused on power generation, renewable energy, and grid infrastructure

Operates through three main segments: Power, Wind, and Electrification Gas turbines, wind turbines, grid solutions, and energy software to utilities and governments worldwide

Installed base of ~7,000 gas turbines and ~55,000 wind turbines globally, creating recurring service revenue Serves ~140+ countries with a large installed infrastructure footprint Positioned to benefit from global electrification, AI data center demand, and energy transition investments

Segments

Power: (~largest profit driver): Gas turbines, nuclear, and related services

Wind: Onshore and offshore wind turbine manufacturing

Electrification: Grid equipment, transmission technology, and power software

Backlog Heavy:

GE Vernova involves its consumers through long-term contracts

Caused due to high demand:
2x book-to-bill ratio

\$150-\$200 billion in total backlog

Gas Turbines sold until 2030



Annotated Stock



As of April 4th*

- 1. Early Sharp Drop**
Around April — ~\$250 low
- 2. Strong Uptrend Recovery**
April → July — ~\$250 → ~\$650
- 3. Sideways Consolidation**
August → November
- 4. Recent Peak & Pullback**
March — peak ~\$948 → drop → rebound ~\$898

**General Electric's
diversified market
approach positions it
for continued revenue
growth across sectors**



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Separate Sectors - Wind

Wind:

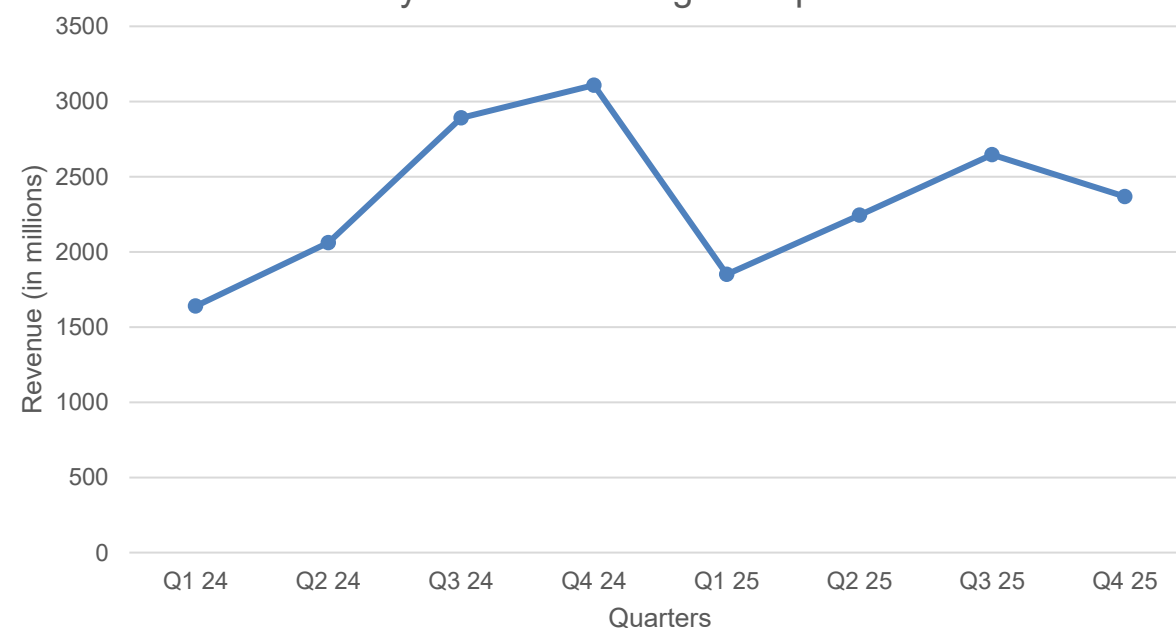
- Revenue dropped 6% YoY

Manufacturing and Installation:

- Onshore
- Offshore

- Only 6% YoY revenue decline even though global wind turbine installations (outside China) dropped 18% in 2024
- Invested over \$100 million to improve existing wind turbines
- Wind turbine orders increased 8% in 2025, mainly outside the U.S. even with the Trump administration's pushback
- Focus on repowering existing sites with new, more efficient turbines

Wind revenue has demonstrated a recovery following earlier declines, with recent quarters indicating improving stability and continued growth potential.



Separate Sectors - Power

Power:

- Revenue grew 9% YoY

Equipment and Services for:

- Gas
- Nuclear
- Hydroelectricity
- Steam Power Generation

Diversity within Power sector allows GE Vernova to benefit no matter what type is prevalent

AI data center demand has reignited gas turbine demand

- Gas equipment backlog growing from 33 GW to 40 GW in Q4 2025 alone

Gas Power services are high-margin and recurring

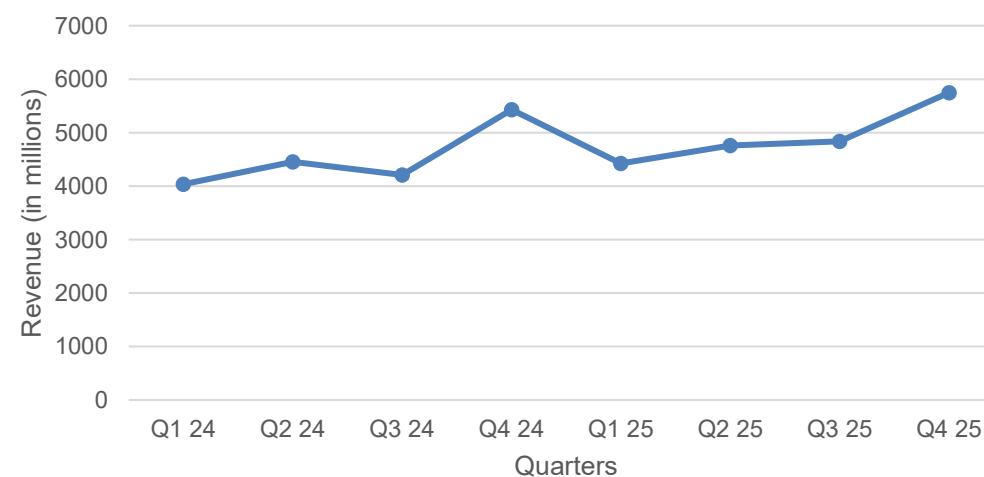
- ~7,000 turbines in the installed base with ~1,700 under long-term service agreements averaging 10 years remaining

Nuclear is an emerging optionality play

- GE Vernova signed the first commercial SMR contract in North America

Oil supply disruption accelerates urgency for domestic electricity generation

Power revenue has shown accelerating growth in recent quarters, reaching its highest levels and reinforcing its importance as a primary contributor to overall performance.



Separate Sectors - Electrification

Electrification

- Revenue grew 28% YoY
- Grid Solutions
- HVDC
- Power Conversion
- Storage
- Software

The current grid's physical infrastructure can't handle the increasing AI data center demand and increased renewable energy projects

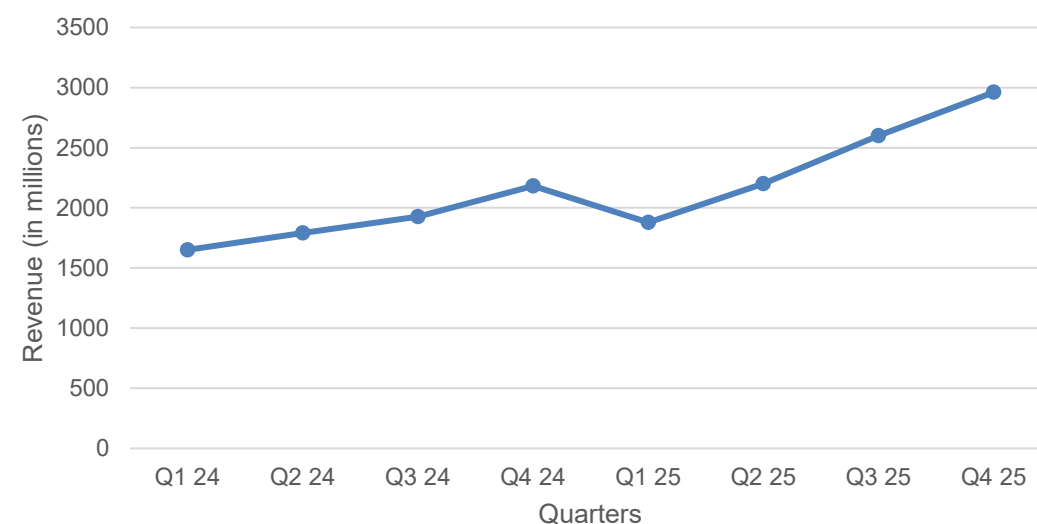
One of only 2–3 companies globally that can supply HVDC systems at scale

- \$30.5B backlog already locked in through 2028 and beyond

Prolec acquisition adds ~\$3B in annual revenue

Electrification EBITDA margin: 3.7% in 2023 then 9.0% in 2024 then 14.9% in 2025 to target 22% by 2028

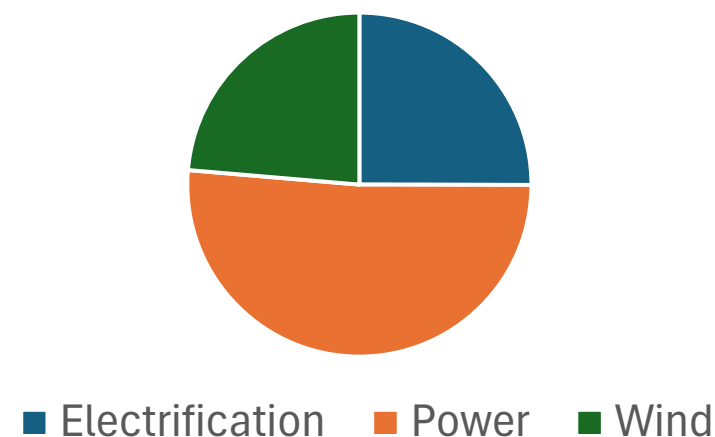
Electrification revenue has grown consistently across recent quarters, highlighting its role as a stable and reliable driver of long-term growth.



Separate Sectors - Diversification

- GE Vernova operates through the whole electricity pyramid: generation (Power, Wind), transmission (Grid Solutions, HVDC), conversion (Power Conversion & Storage), and software (Electrification Software): **no other pure-play company spans all four**
- When one segment faces difficulty, others offset: offshore Wind losses in 2024–2025 were absorbed by acceleration in Power and Electrification
- Service-to-Good diversification: helpful with supplier backup
- Geographic diversity: North America, Europe, Middle East, and Asia reduce single region dependency
- Diverse customer base: utilities, independent power producers, industrial operators, governments, and data center developers
- **Overall: GE Vernova benefits through the energy transition NO MATTER WHAT**

GEV Segment Diversification Between Sectors Revenue 2025



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The current demand for energy to power the AI industry will allow GE Vernova to surpass its competitors.



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AI & Demand For Energy

Data Center Demand Surge

Capacity expected to **nearly triple by 2030**

Drives massive investment & electricity demand

U.S. Build Acceleration

~\$78B in 2025 (+190% YoY)

Rapid AI-driven expansion

AI Increasing Energy Intensity

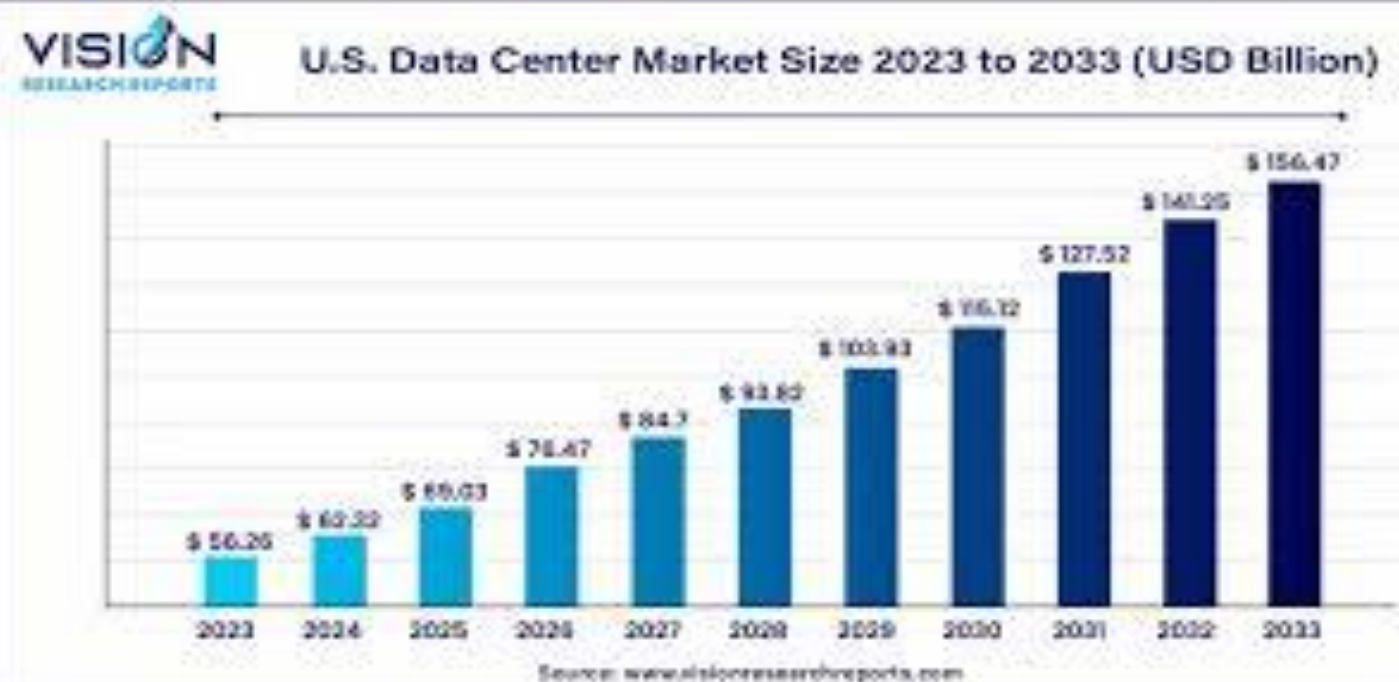
Higher power use per data center

Need for reliable, baseload energy

GE Vernova Advantage

Diversified across gas, nuclear, grid & renewables

Positioned to support generation + transmission growth



Grid Infrastructure as a Bottleneck and Opportunity

- As data center growth strains existing transmission networks, GE Vernova's grid solutions segment stands to benefit from increased investment in grid modernization and interconnection capacity.

Market Growth Validates Long-Term Value Creation

- The steady upward trajectory shown in the data center market size graph underscores a durable, multi-year demand tailwind, reinforcing GE Vernova's positioning as a direct beneficiary of one of the most capital-intensive infrastructure buildouts of the decade.

AI & Demand For Energy

AI Driving Energy Demand

AI rapidly increasing global electricity needs

Energy becoming a key constraint on growth

Data Center Expansion

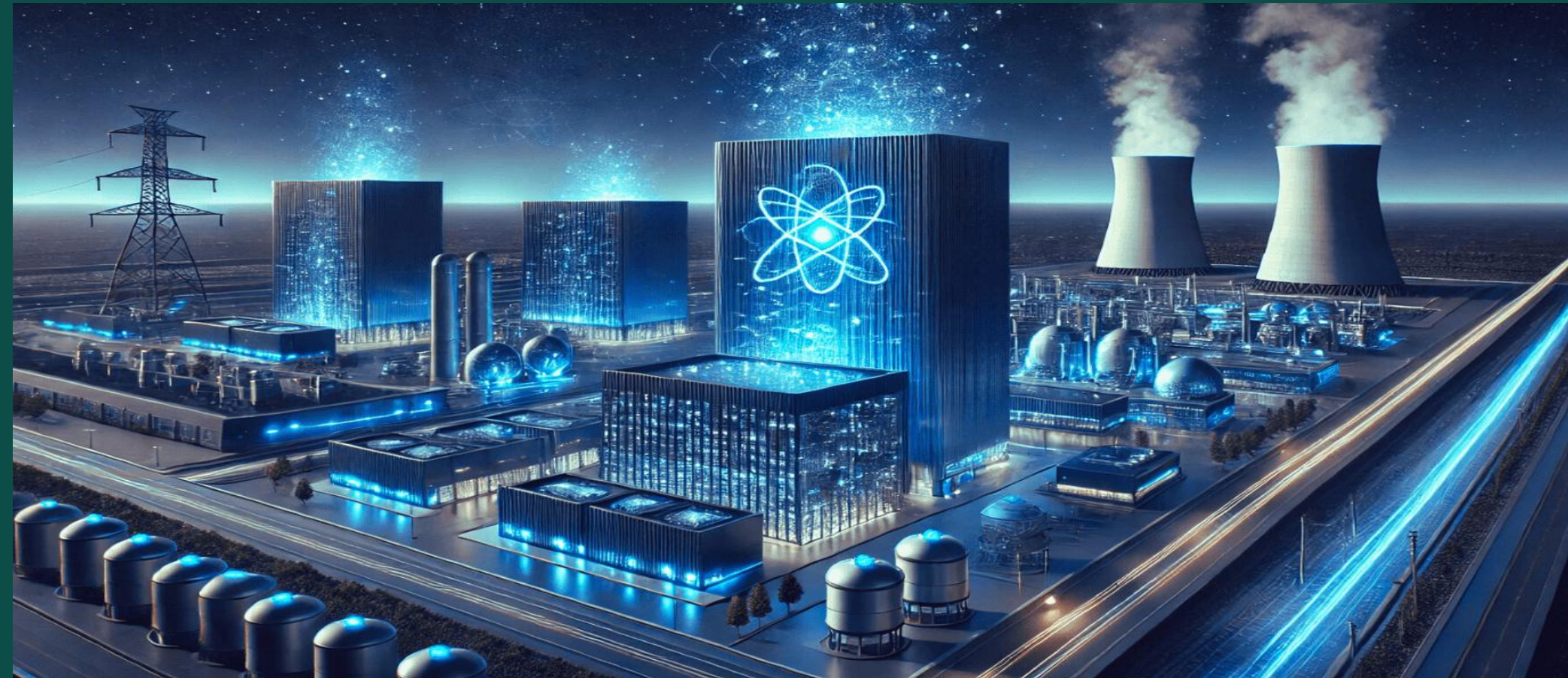
AI/cloud → ~70% of new data center growth by 2030

High energy use from GPU workloads

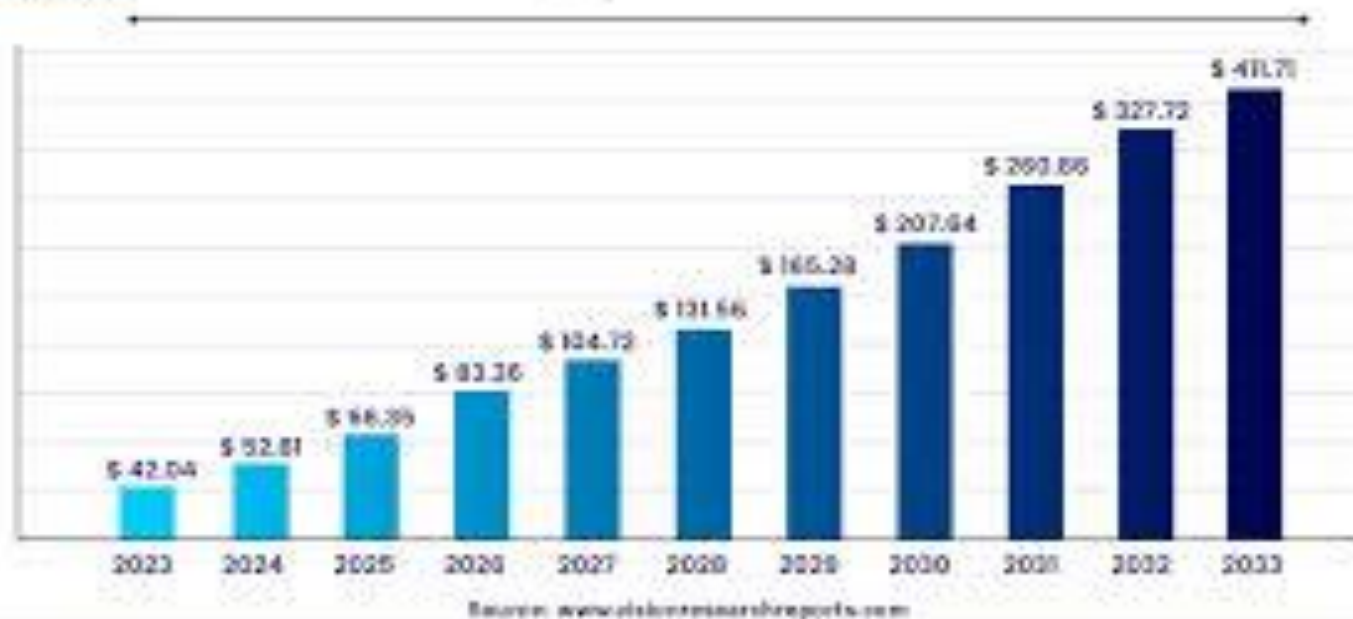
Infrastructure Investment Surge

Increased spending on power generation & grids

Focus on reliable energy alongside renewables



VISION RESEARCH REPORTS U.S. Artificial Intelligence Market Size 2023 to 2033 (USD Billion)



AI-Driven Market Growth

Rapid AI adoption → sustained growth in electricity demand

Creates long-term tailwind for energy infrastructure

GE Vernova Positioned to Benefit

Power segment (~\$18B revenue, 2024)

Expected **double-digit growth**

Driven by AI/data center energy demand

**GE Vernova benefits from an
oligopolistic market,
allowing for strong pricing
power, higher barriers to
entry, and predictable
long-term cashflows**

Highly concentrated market: A few global players dominate power generation and renewable infrastructure

~30% gas turbine market share: Indicates significant industry control and limited competition (dominate)

High barriers to entry: Capital intensity, regulation, and advanced technology prevent new entrants

Differentiated competition: Firms compete on innovation, efficiency, and long-term service contracts, not price

Scale advantage: ~\$35B revenue and \$100B+ backlog reinforce market power and revenue visibility

Why this matters:

Sustained Pricing Power → Margin Expansion

High Barriers to Entry → Durable Competitive

Advantage

Installed Base → Recurring, High-Margin Revenue

Backlog Visibility → Earnings Stability

Efficient Growth → Lower Incremental CapEx

Industry Structure → Reduced Competitive Volatility



Risk Factors

Tariffs

- Rising tariffs on imported components or export restrictions can increase costs and compress margins for GE Vernova, particularly given its global supply chain

Externalities (pollution, etc.)

- GE Vernova faces regulatory and reputational risks tied to environmental externalities, including stricter emissions policies and potential carbon pricing

Volatility due to world events

- GE Vernova's price tends to fluctuate significantly due to world conflicts that involve its products
- Example: the current war in the Middle East

Porters 5 forces

Intensity of Rivalry: High

- Although GE Vernova Leads, they have competitors in different sectors
- EX: Siemens in Gas Turbines

Bargaining Power of Buyers: Low

- Large companies have large demand for energy
- Evidenced by GE Vernova's backlog
- Lead times for large transformers is 3-5 years

Bargaining Power of Suppliers:

Moderately - High

- Specialized equipment
- Limited supply of essential products
- Industry is continuing to see new suppliers but also seeing innovation
- Services allow decline of supplier power

Threat of New Entrants: Low

- Massive capital requirements to enter
- Many certification, regulation, and safety standards
- Current companies have global service networks and track records

Threat of Substitutes: High

- Although GE Vernova Leads, they have competitors in different sectors
- EX: Siemens in Gas Turbines

Comps Analysis

Company Name	Ticker-Region	Market Cap	EV	NTM Sales	NTM EBITDA	NTM Net Income
Vertiv (VRT)	VRT-US	99,969	103,777	13,610	3,277	2,383
Eaton (ETN)	ETN-US	140,100	149,360	30,489	11,728	5,207
Siemens Energy (ENR)	ENR-GR	127,532	120,640	43,507	6,290	3,367
Emerson Electric (EMR)	EMR-US	74,055	86,093	18,939	5,426	3,659
GE Vernova	GEV-US	249,011	239,590	45,301	5,326	6,719

Company Name	Ticker-Region	NTM EV/EBITDA	NTM P/E
Vertiv (VRT)	VRT-US	31.66x	41.96x
Eaton (ETN)	ETN-US	12.74x	26.91x
Siemens Energy (ENR)	ENR-GR	19.18x	37.88x
Emerson Electric (EMR)	EMR-US	15.87x	20.24x
GE Vernova	GEV-US	44.98x	37.06x



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Valuation

Case	P/E Multiple	EqV (in millions)	Price Target	Return
Bull	41.96x	\$328,076.4	\$1,217.22	35.46%
Base	37.06x	\$289,790.0	\$1,075.17	19.65%
Bear	20.24x	\$158,259.6	\$587.17	-34.66%

Summary

\$898 Current Price → Strong Upside Potential

Core Thesis

AI-Driven Energy Demand accelerating electricity needs
Diversified Energy Portfolio → stable, multi-sector growth
Oligopolistic Market → pricing power + high barriers to entry

Valuation Scenarios

Bull Case: \$1,217 (+35.46%)
Base Case: \$1,075 (+19.65%)
Bear Case: \$587 (-34.66%)

Compelling risk-reward with strong upside driven by long-term energy demand



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Questions?